

		2. MOTION TO STRIKE PORTIONS OF COMPLAINT Defendants John Alevizos and Georgia Alevizos’ Motion to Strike is DENIED. The Alevizoses’ requests for judicial notice are granted as records of this court. The Alevizoses do not have standing to challenge the first cause of action because the cause of action does not name them as defendants. (Code Civ. Proc., § 430.10.) The Alevizoses requests to strike paragraphs 7, 28, 29, and 46 of the 4AC; paragraphs 1, 2, and 4-7 of the prayer for relief; and all references to litigation expenses, attorney’s fees, expert fees, and costs are denied as moot in light of sustaining the demurrer as to the 2nd cause of action without leave to amend. The Alevizoses are no longer parties to the lawsuit because there are no causes of action asserted against them.
9.	HAUNGS VS. NB TECH ACQUISITIONS CORP. 2025-01503830	1. DEMURRER TO AMENDED CROSS-COMPLAINT Plaintiffs/Cross-defendants Jeff Haungs and Matthew Steffens’ demurrer to the first, second, and third causes of action in Defendants/Cross-complainants NB Tech Acquisitions Corp. and 041 LLC’s Cross-complaint is OVERRULED in part and SUSTAINED in part with leave to amend. <u>First and Second Causes of Action for Breach of Contract</u> Defendants/Cross-complainants’ first and second causes of action allege breach of contract against Plaintiff/Cross-defendant Jeff Haungs and Plaintiff/Cross-defendant Matthew Steffens, respectively. “To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant’s breach and resulting damage.” (<i>Harris v. Rudin, Richman & Appel</i> (1999) 74 Cal.App.4th 299, 307 [citation omitted].) “If the action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference.” (<i>Ibid.</i>) “In an action based on a written contract, a plaintiff may plead the legal effect of the contract rather than its precise language.” (<i>Construction Protective Services, Inc. v. TIG Specialty Ins. Co.</i> (2002) 29 Cal.4th 189, 198-199 [citation omitted].) Plaintiffs/Cross-defendants demur on the grounds Defendants/Cross-complainants failed to attach a copy of the alleged contracts to the

cross-complaint or state the essential terms of the contracts and the specific provisions breached.

Defendants/Cross-complainants allege they entered into separate agreements with Jeff Haungs and Matthew Steffens. With respect to both agreements, Defendants/Cross-complainants checked the boxes on the form cross-complaint stating, “The essential terms of the agreement . . . are as follows.” (Cross-Comp. at pp. 3 and 5.) In place of setting forth the essential terms, Defendants/Cross-complainants state, “A copy of the agreement is attached as Exhibit 1 [and Exhibit 2] to the Complaint herein.” (*Id.*)

As Defendants/Cross-complainants neither attach the agreements nor set forth their essential terms, the Court finds Defendants/Cross-complainants fail to state causes of action for breach of contract.

The Court SUSTAINS the demurrer to the first and second causes of action with 20 days leave to amend.

Third Cause of Action for Fraud

“The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [citation omitted].)

Fraud must be pleaded with specificity. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 [citation omitted].)

Defendants/Cross-complainants’ cross-complaint includes language from the form cross-complaint itself together with additional allegations from Defendants/Cross-complainants.

Defendants/Cross-complainants allege with respect to the alleged misrepresentations:

- To induce Cross-complainants to hire them as a team Cross-defendants represented that they would deliver “white glove” service to manage, develop and grow Cross-complainants’ e-commerce business by bringing in known product suppliers, by using their personal connections in the U.S. intelligence community to bring in the Department of Defense contracts, and by using their business connections at Amazon, Ebay and Home Depot to obtain favors and preferential treatment for Cross-complainants.
- These representations were in fact false and the truth was Cross-defendants lacked the management skills to deliver even basic internal corporate functions, chose to ignore directions given by Cross-complainants’ Chief Executive Officer, and made no effort to bring in new product

suppliers, Department of Defense contracts or to reach out to Amazon, Ebay and Home Depot for favors and preferential treatment for Cross-complainants.

- When Cross-defendants made the representations they knew they were false and made the representations with the intent to defraud and induce Cross-complainants to enter into employment agreements.

Defendants/Cross-complainants allege with respect to the alleged concealment:

- Cross-defendants concealed Steffens was addicted to the use of cocaine, which if known to Cross-complainants would have disqualified him as a potential employee.
- Cross-defendants concealed facts they were bound to disclose and did so with the intent to defraud and induce Cross-complainants to enter into employment agreements.

Defendants/Cross-complainants further allege that in justifiable reliance on Cross-defendants' conduct they entered into employment agreements providing for substantial signing bonuses and generous salaries.

Defendants/Cross-complainants allege because of their reliance on Cross-defendants' conduct they have been damaged by the loss of existing and prospective customer revenue and significant delay in the implementation of their business plan.

These allegations are sufficient at the pleading stage.

The Court OVERRULES the demurrer to third cause of action.

2. MOTION TO STRIKE PORTIONS OF CROSS-COMPLAINT

Plaintiffs/Cross-defendants Jeff Haungs and Matthew Steffens' motion to strike portions of Defendants/Cross-complainants NB Tech Acquisitions Corp. and 041 LLC's Cross-complaint is DENIED in part and GRANTED in part with leave to amend.

Plaintiffs/Cross-defendants move to strike portions of the Cross-complaint seeking exemplary damages and attorney's fees.

Punitive Damages

To support a demand for punitive damages, a plaintiff must allege facts demonstrating oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166; Civ. Code, § 3294, subd. (a).) "A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is

		sufficient.” (<i>Stevens v. Superior Court</i> (1986) 180 Cal.App.3d 605, 610-611 [citations omitted.]) As discussed above, Defendants/Cross-complainants have sufficiently alleged a cause of action for fraud. The Court DENIES Plaintiffs/Cross-defendants’ motion to strike portions of the Cross-complaint seeking exemplary damages. <u>Attorney’s Fees</u> Defendants/Cross-complainants have not sufficiently alleged any contract, statute or law which allows for the recovery of attorney’s fees. The Court GRANTS Plaintiffs/Cross-defendants’ motion to strike portions of the Cross-complaint seeking attorney’s fees with 20 days leave to amend.
10.	HERNANDEZ VS. TOYOTA MOTOR SALES, U.S.A., INC. 2025-01498893	1. DEMURRER TO COMPLAINT Defendant Toyota Motor Sales, U.S.A., Inc. (“Toyota”) demurrer to the Sixth Cause of Action for Fraudulent Inducement – Concealment in the Complaint filed by plaintiff Isaac Pedrosa Hernandez is OVERRULED. <u>Sixth Cause of Action for Fraudulent Inducement – Concealment:</u> Toyota contends the sixth cause of action (1) fails to plead fraud with the requisite specificity; (2) fails to allege a transactional relationship between Toyota and Plaintiff giving rise to a duty to disclose; and (3) is barred by the economic loss rule. “The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (<i>Rattagan v. Uber Techs., Inc.</i> (2024) 17 Cal.5th 1, 40 (<i>Rattagan</i>).) Fraud must be pleaded with specificity rather than with general and conclusory allegations.” (<i>Boschma v. Home Loan Center, Inc.</i> (2011) 198 Cal.App.4th 230, 248) (cleaned up).) “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (<i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 645 (cleaned up).) First, Toyota argues Plaintiffs fail to plead fraud with the requisite specificity. In <i>Alfaro v. Community Housing Improvement System & Planning Assn., Inc.</i> (2009) 171 Cal.App.4th 1356, 1384, the court addressed the level of specificity required in cases involving